

Case Studie on Green Zebra - Grow Fast or Grow Slow?

FACT-Projects (Corporate Finance), Winter semester 24/25

Table of contents

1	Introduction	3
2	Past Performance of Green Zebra	4
2.1	Financial From 2017 to 2019	4
3	1-Store Portland Expansion	5
3.1.1	Sales and COGS	5
3.1.2	Payroll, Occupancy, and Advertising	6
3.1.3	Depreciation and Interest	6
3.1.4	Minimum Tax	6
3.2	Income Statement Forecast	6
3.3	Balance Sheet Forecast and EFN	7
3.4	Is the 1-Store Expansion Enough without funding?	8
4	3-Store Expansion to Seattle	9
4.1	Discount Rate for Green Zebra's 3+ Store Expansion to Seattle	9
4.2	Attractiveness and Risk of the 3-Store Seattle Expansion	11
4.2.1	Attractiveness	11
4.2.2	Risks:	11
4.3	Financial Impact of a 3-Store Seattle Expansion on Green Zebra's Financial Statements	12
4.3.1	Changes in the income statement:	12
4.3.2	Impact on Balance Sheet:	13
5	Lisa Sedlar's Journey with Green Zebra: Balancing Growth and Funding	14
5.1.1	Management of Growth:	14
5.1.2	Funding Growth:	15
5.1.3	Gender in the Funding:	15
6	How Much GZ will be worth!	16
6.1	Multiples Approach Overview	16
6.2	Valuation Under a 1-Store Portland Expansion	16
6.2.1	Projected Revenues and Enterprise Value	16
6.2.2	Subtracting Net Debt to Arrive at Equity Value	17
6.3	Valuation Under a 3-Store Seattle Expansion	17
6.3.1	Projected Revenues and Enterprise Value	17
6.3.2	Net Debt and Resulting Equity Value	17
6.4	Comparing Seattle Expansion Value to the \$12 Million VC Raise	18
6.5	Key Takeaways	18
7	Recommendation for Green Zebra's Expansion Strategy	19
7.1	Financial Findings	19
7.1.1	NPV	19
7.1.2	Internal Rate of Return (IRR)	19
7.1.3	Profitability Index (PI)	20
7.2	Strategic & Operational Criteria	20
7.2.1	Market Penetration & Brand Visibility	20
7.2.2	Economies of Scale	20
7.2.3	Risk & Complexity	20
7.3	Financing & Alignment with the \$12 Million VC Round	21

7.4	Which Should Green Zebra Choose?	21
7.4.1	Financial Summary	21
8	Final Consideration:	22

1 Introduction

Green Zebra Grocery, carved a rather niche position among grocery and convenience retailers. Founded in 2013 under the leadership of longtime grocery industry executive Lisa Sedlar, Green Zebra began with the aim to combine convenience-store immediacy with specialty grocer standards. With its emphasis on fresh, organic, and locally sourced products, the business has won the attention of locals and glowing accolades from both local and national media. A hybrid deli-grocery-coffee shop, Green Zebra's business model intends to develop into a community center devoted to offering healthy and ready-to-eat foods based on community participation and sustainability practices.

The European-style, small-footprint stores of Green Zebra, designed for urban, walkable neighborhoods, have challenged customary retail ideas since their founding—they focus on the modern consumer who desires quality but does not wish to travel the supermarket route, providing a balance of organic fruit and vegetables, ready-made food and craft beers. In this respect, Green Zebra is set apart from many of its competitors on this landscape, which drive other types of retail opportunities, as quick-service items and low-margin goods are prevalent; however, it has faced several concerns regarding sustaining that difference.

Green Zebra's operational outlook is plagued by astronomical urban real estate costs, substantial working capital stemming from inventories stocked mainly with perishable goods, and pressure from giants in the industry encroaching into the same niches. Sedlar originally aimed to grow Green Zebra from Portland in furtherance towards Seattle and down the West Coast. This expansionism stands against the competitive backdrop featured by competitors such as Amazon Go and Whole Foods, having either innovated or expanded into smaller formats that presumably stay a good distance from larger developments.

Financing itself has been a particular hurdle for Green Zebra, mirroring the more general difficulties faced by many food and beverage startups. In the beginning, financing came from angel investments, crowdsourcing, and equipment financing. Every new store opening required huge amounts of capital. Finally, the venture capital world kicks in, bubbling with its own complexities, in that investors are interested in growth potentially, but they are cautious when it comes to retail concepts, especially any that are thinly marginated and haven't proven corporate profitability. This hurdle is then deepened by the fact that women-led startups like Green Zebra are often met with added barriers to securing funds.

At this juncture, Green Zebra faces a strategic decision for expansion: whether to build up its Seattle presence through multiple store openings on a fast-track basis or proceed slowly with simply one more store in Portland to increase its local market presentation and allowing it to turn a profit. Each option has different financial projections, risk and operational calculations. Although the ability to leverage a partnership could mitigate expansion costs, each new store will also further complicate operations regarding staffing, brand consistency, and quality control.

This case study of Green Zebra addressed the strategic, financial, and operational problems of the company, while also giving broad perspectives on scaling a socially- and environmentally-conscious business in a highly competitive field. It examined the balancing act for how Green

Zebra succeeded in one area while producing no such results in others or had difficulty securing capital as a female-led venture, while constantly modifying strategic direction in response to market trends. Viewed through that prism, the journey of Green Zebra includes lessons drawn from experience regarding innovation, determination, and business foresight within modern food retail.

2 Past Performance of Green Zebra

Green Zebra was born in 2013 with a store located in Portland's Kenton neighborhood—a mix of urban and residential areas. Given its small footprint, the store resembled local markets rather than conventional supermarkets, and here the emphasis was on organic produce, an aesthetically pleasing assortment of groceries, and on-the-spot delicatessens. This first realization vindicated CEO Lisa Sedlar's belief that within the U.S. convenience sub-sector, an organic community-based alternative would find a room for itself. In 2016, Green Zebra took another big step, opening at another location in Portland, the Lloyd district, followed by a smaller store near Portland State University in 2017.

Although by late 2017 it had only three locations, the brand built a reputation. Local customers began to think of the "Zeeb", as it was called, as a neighborhood meeting place for quick, fresh lunches and to pick up some everyday essentials. The margin at the store level for organic produce and deli items was greater than that for mainstream convenience stores, which had a heavy reliance on cigarettes, lottery, and soda (p. 3). However, at the corporate level, the overheads remained high, as Sedlar was eager to build a passionate brand, continue flying the full health coverage banner for employees, and provide funding for general marketing and technology. Therefore, while each store achieved a swing towards operational profitability in two or three years, the corporation recorded a net loss (p. 2).

2.1 Financial From 2017 to 2019

Many early-stage enterprises demonstrated both prospects and trials in their balance sheet assertions from 2017 to 2019. Consolidated net sales were roughly \$10 million in 2017, rising to almost \$12.7 million by 2019 (Hamilton & Mathwick 2020). As early as the internal years, the cost of goods sold was in the range of 59-60%, putting it slightly above the preferred range of just below 58% targeted by Sedlar. Wage and benefit costs at the store level were above industry averages because the company provided above-minimum wages and healthcare benefits to both part-time and full-time workers (p. 3).

Store-level contribution: By 2018, each store was on an uptrend in terms of gross profit margin, often topping 25%, which is ordinary for convenience-oriented operations. Some items, such as fresh deli products, exhibited margins as high as 85% on specific prepared goods (p. 4).

Corporate-level losses: Though store-level contributions were positive by 2019, accrued corporate overhead and interest expenses had driven the bottom line into negative territory. For instance, in 2019, interest expense was around \$433,000, while corporate advertising and promo and payroll add further burdens.

A principal reason for Green Zebra's losses was the investment made in operating capacity (p. 3). Due to the limited number of stores, economies of scale had not been realized. Green Zebra, having to maintain a corporate staff just large enough to back future expansion, faced market disjunction, far exceeding the actual store count. Additionally, their policy of sourcing many of their products locally concurred with their mission and sometimes presented relatively high supply costs and logistical complications. The way to reach corporate profitability was thus obstructed in these early years.

While earlier prototypes centered on large-scale deli operations and made-to-order offerings, Green Zebra, beginning in 2018 and 2019, began to take a more grab-and-go approach (p. 2). This approach was aimed at addressing the impact of labor costs on speed of service according to customer preferences. Small footprints also became the norm with an ideal target size of 4,000 to 5,000 square feet-down from the first store, which stood larger than 7,000 square feet

Simultaneously, the merchandising mix shifted. Locally roasted coffee, fresh pastries, and craft beers developed traction as signature categories. Healthy prepared foods, such as the soup and salad bars, came out as standout revenue drivers. According to Sedlar and her team, although such categories are labor-intensive, they had very strong appeal with this core demographic of urban residents seeking quick and nutritious meals (p. 3).

On the marketing front, the company heavily leveraged community partnerships and the support of local nonprofits. By 2019, Green Zebra worked with over 100 local organizations, including some dedicated to addressing food insecurity (p. 2). This "hyperlocal" brand loyalty, but it did not equate to spending cuts; it highlighted special tension between profit-making and commitments to missions.

3 1-Store Portland Expansion

From the case materials, Green Zebra has indicated that stronger sales growth in Portland was achievable if another store is to be opened due to the fact that consolidating the local presence would enhance certain brand qualities for quicker profitability. The key assumption here is that no new outside capital sources such as venture capital infusions or convertible debt are going to be attracted between 2020 and 2025; rather, the firm's debt, interest expense, and equity will remain at the same levels of the year 2019, with small, known exceptions such as scheduled depreciation or continuing Oregon minimum tax adjustments.

3.1.1 Sales and COGS

Starting with an income statement forecast reaching \$17.1 million in 2020 for the whole-state operations over four stores, with variable percentages over the subsequent years:

2021 growth of 7%
2022 growth of 5%
2023 growth of 4%
2024 growth of 2%
2025 growth of 1%

So, from 17.1 million in 2020, they reach nearly 20.58 million by 2025. Starting on COGS ratios of 59.5% of sales in 2020, they will decline gradually or level out in subsequent years at about 58%. These percentages are reflective of Green Zebra's historically difficult time in controlling COGS downward due to its reliance on fresh and organic items that tend to command more premium sourcing costs compared to mainstream convenience stores.

3.1.2 Payroll, Occupancy, and Advertising

Payroll & Benefits: Starting at 25.3% of sales in 2020, dipping to 24% by 2025. This is a moderate drop representing labor savings as the new store ramps up its operations, having a fixed structure and so on.

Occupancy & Other: At 14% of sales in 2020, this ratio shrinks incrementally to around 12.3% by 2024-2025. With four stores, Green Zebra is assumed to distribute some fixed costs for occupancy relatively well.

Advertising: Held at a percentage of sales constant at 1% throughout the six-year forecast horizon. While actual expenditures may vary, the assumption is that a steady budget is enough to attain brand awareness at the local level.

3.1.3 Depreciation and Interest

The detailed depreciation schedule shows that the starting depreciation amount is expected to be \$420,072 for the year 2020 and the same depreciates every year as the assets near the end of their useful life. For the year 2025, depreciation comes down to around \$125,551.

Interest: The interest is assumed to equal \$170,000 per annum from 2020 through 2025. This refers to the existing debt obligation, which presumably will be refinanced or rolled over but not expanded. Without any takeover of new outside financing, none of the projections predict interest expense in addition to what is presently being paid.

3.1.4 Minimum Tax

Oregon has a minimum state tax, \$15,000, which is applied each year. So, while Green Zebra is operating through a federally recognized net operating loss, it will be liable for the minimum annual state tax.

3.2 Income Statement Forecast

The following is a summary of the envisaged KPI sheet for the period 2020-2025. All figures presented in this section have been taken straight from the analysis provided under scenario modeling:

Sales increased from \$17.1 million in 2020 to \$20.58 million in 2025.

COGS hovered around 59.5% in 2020, dipping closer to 58% over time, implying some positive movement in cost as the store matured.

Gross Profit rose accordingly from \$6.93 million in 2020 to over \$8.64 million in 2025.

Payroll & Benefits gave closer to one quarter of sales in 2020 and then stabilized at around 24%.

Both Occupancy & Other costs and Advertising further eroded margins. Occupancy starts at about 14% and has very slowly declined to 12.3%, while advertising is a constant 1%.

EBITDA starts around \$34,200 in 2020 and jumps to \$967,435 by 2025. Most of the uncertainty lies around the early years, 2020–2021, when it's slightly safe not to assume an EBITDA indefatigably above the \$300,000 mark, if that chain is intent on creating almost \$20 million in sales.

After depreciation, EBIT captures the downward trajectory, with negative figures of -\$385,872 for 2020 and -\$128,256 for 2021. 2022 finally registers EBIT as positive, at \$345,754, rising to \$841,884 by 2025. Interest costs of \$170,000 a year shrink this further on net income, leading the chain to stay loss-making until 2022. The net loss is:

2020: -\$570872
2021: -\$313256
2022: +\$160754
2023: +\$362571
2024: +\$509938
2025: +\$656884

In other words, under this plan to open one store, Green Zebra will report losses for its first two years with a return to profit in Year 3, 2022. The projected net income for 2025 exceeds \$650,000—a narrow return on such a modest area of retail operations. The implication of this sequence is that the chain would return to being cash-flow positive at around 2021 and probably would signify that while net external funding is merely a balancing act for the accounts, daily liquidity would provide headaches.

3.3 Balance Sheet Forecast and EFN

An important aspect to consider in this regard is the balance sheet projection, which tells us whether the chain will be successful in making its asset base grow faster than its liabilities and equity. This aspect is typically covered by total year-end assets being reduced by spontaneous liabilities and prior equity. If the positive difference exceeds the company's current resources, external financing is needed, and EFN is positive. If the positive difference runs just about zero, no outstanding funding is needed from the accounting standpoint.

The computed EFN is positive throughout the projection period, implying that accounting-wise, very little external financing is needed to make the books balance. In other words, the

liabilities plus equity will be sufficient to accommodate the asset growth of the four-store chain. This is due to:

- Small capital expenditures when one additional store is opened.
- An increase in operating margins expected between 2022 and 2023 gives quite a few resources to be generated internally.
- The liabilities remain stable at their 2019 level.

More importantly, one should distinguish between an accounting EFN and the cash flow situation in practice. Substantially, while the balance sheet may appear to be in balance without any external financing, the income statement is forecasting net losses and negative cash flows over 2020 and 2021, a definite cause for worry regarding day-to-day liquidity. Should Green Zebra not possess a sufficient cash balance during opening, it might run into cash flow problems despite the end-of-year balance sheets appearing to show no external financing requirements.

Despite EFN being either zero or negative, Green Zebra continues to record some negative cash flow up until 2021 and, in those two years, is still making net loss. This situation creates some significant strategic questions:

Liquidity vs. EFN: The calculation of EFN aims to assess year-end snapshots. Such cash shortages might occur on a daily or monthly basis from early 2020 through 2021. If the company does not have any safety nets or lines of credit, they might find it difficult to remit payroll and inventory costs and interest expenses during these downtimes.

Delayed Profitability: Failure to turn a profit until 2022 dwarfs the expansion of the single-store Portland support that takes a while to deliver substantial economies of scale. While store-level operations as a whole may just achieve profitability, corporate overhead remains a considerable sum, together with maintenances of interest burdens.

Competition: Meanwhile, competition has been stiffening in the convenience/grocery segment. A single new store may not fully benefit from the lucrative properties that are up for grabs and those that might keep competitors from opening new stores. Slower growth in the locality would also seem to furthermore empower other emerging healthy convenience-yet-first movers.

3.4 Is the 1-Store Expansion Enough without funding?

While the balance sheet analysis shows that an EFN “plug” is not strictly needed—meaning that total assets do not surpass the sum of liabilities and equity—strategically, the 1-store expansion may still be insufficient. From a financial standpoint, the negative cash flow in 2020–2021 underscores that the company’s operating environment remains tenuous:

- **Interest Coverage:** With EBIT negative in 2020 and 2021, the interest coverage ratio ($\text{EBIT} / \text{Interest}$) is under 1.0 for two consecutive years, implying that external or internal reserves must plug the gap.
- **Accumulated Losses:** By the time the chain crosses into profitability, it has added roughly \$880,000 in cumulative net losses (across 2020–2021).

- **Growth Ambitions:** If Green Zebra intended to demonstrate a strong growth story to future investors, adding just one store in Portland might be viewed as too conservative, sacrificing opportunities in larger markets like Seattle.

The data here suggests that while the 1-store option keeps external debt or equity minimal, it also potentially slows brand expansion, keeps the chain's overhead ratio high, and does not firmly guarantee robust profitability until at least 2023. By that point, the marketplace could evolve dramatically, and real estate or tenant improvement deals might no longer be as favorable.

Overall, the forecast for a 1-store expansion indicates that there is hope that Green Zebra hibernates below the radar of outside funding if the current financing is constant and early-stage cash flows are addressed. However, from a strategic standpoint, the small size and continued early losses raise considerable risk. Just as the same thing that limits expansion also stunts growth and inhibits long-term competitiveness, lack of funds inhibits growth. Thus, while it may appear that the situation offers a resolve a potential risk from a capital structure standpoint, it may, over the long haul, hobble performance against demands that a rapidly changing healthy convenience market samplers may want to realize.

4 3-Store Expansion to Seattle

4.1 Discount Rate for Green Zebra's 3+ Store Expansion to Seattle

A proper discount rate is vital to determine the applicability of investment projects considered for analysis in finance. In this case, the discount rate is the Weighted Average Cost of Capital (WACC), indicating the rate of return that must be paid to its security holders to obtain loan funds for the expansion of investment assets. WACC is computed by taking the weighted average of the cost of equity and the after-tax cost of debt according to the company's capital structure.

The following are the calculations for the Green Zebra WACC:

Risk-Free Rate (Rf): This metaphoric return rate of investment with zero risk is mostly attributed to government securities. In the calculations, Green Zebra was given the risk-free rate of 1.80%. It serves as the basis for estimating the expected rates of return on equity.

Market Risk Premium (Rm-Rf): It is the extra return that the investors would expect to make an investment in stock exchanges as opposed to investing in risk-free assets. Green Zebra's market risk premium amounts to 5.90%, which is compensation that investors will seek from the uncertainty over market returns.

Industry Beta (β): Beta measures the sensitivity of stocks or portfolios' returns relative to the market. A beta of 0.59 for an industry means that Green Zebra's business is really less volatile than the entire market. The beta is to adjust the risk-free rate for business risk relative to that of the convenience store industry.

Tax Rate: The 28.60% corporate tax cuts the cost of debt through reducing the interest expense that affects the earnings, hence lowering the actual cost of debt.

Equity (E) and Debt (D): The value of Green Zebra's equity stands at \$9,173,230, while that of debt stands at \$8,543,497. These are the market values of the equity and debt of the company, and they provide the critical data necessary for ascertaining the weights for the WACC calculation.

Total Capital (E+D): Summing up both gives total capital equal to \$17,716,727, which will be used in calculating proportions of equity and debt in the firm's capital mix.

Weight Of Equity (We) and Weight Of Debt (Wd): These weights have been calculated by dividing the each component, by the total capital. For Green Zebra, We is 0.517777272 and Wd,0.482222728. The weights indicate the relative importance of equity and debt in financing the operations of the company.

Levered Beta: This is Beta adjusted for the level of debt of the company; it is calculated at 0.354357628; it indicates how the equity beta of Green Zebra will change with its current level of debt.

Cost of Equity Return (Re): Using CAPM, $Re = R_f + \beta(R_m - R_f) = 3.89\%$. This is the expected return by the stockholders to absorb the risk of ownership.

Industry Average Cost Of Debt: This is at 5.86% and implies the cost that similar companies within the industry borrow at. It is tax adjusted to find out the after-tax cost of debt.

WACC Calculation: The WACC calculation for Green Zebra is $WACC = (We * Re) + (Wd * Rd * (1 - Tax Rate)) = 4.84\%$. It will be used to discount the future cash flows of the Seattle expansion project.

Confidence in Using Peer Data:

In using peer data from companies such as Casey's General Stores (CASY), Alimentation Couche-Tard (ANCUF), and another competitor (ANCARDNY), we make the assumption that these companies face similar market conditions and risks. However, there are several factors influencing our confidence:

Business Model Differences: Green Zebra's emphasis on organic and locally sourced products and community involvement distinguishes its business model from other convenience stores, possibly altering its risk profile.

Size and Scale: Green Zebra is quite a lot smaller than its most similar peers, which can cause differing financial dynamics, such as higher costs of funding due to restrictive access to attractive financing terms and less negotiating power with suppliers.

Regional Differences: While you are in the general area of convenience store-type businesses, the region could call for slight distinctions in consumer preferences and competition in Seattle that might not be fully represented by the peer group.

Considering all of these nuances, while the peer data suggest a benchmark, adjustments might be warranted concerning Green Zebra's unique set of attributes. We have only moderate confidence that this data is applicable since it supports a relevant industry perspective, yet Green Zebra's distinct business strategy and great deal smaller size introduces subtleties that can affect its cost of capital.

4.2 Attractiveness and Risk of the 3-Store Seattle Expansion

4.2.1 Attractiveness

Net Present Value (NPV): The calculated NPV of \$3,706,094.13 for this expansion indicates that, if the cash flow projections hold true, the investment will add value to the company over the cost of capital. This positive NPV is a strong indicator of an attractive investment opportunity.

Internal Rate of Return (IRR): With an IRR of 25.31%, the expected return from this expansion significantly exceeds Green Zebra's WACC of 4.84%, suggesting that the project could be very profitable.

Market Potential: Seattle shares demographic similarities with Portland, indicating a potential market for Green Zebra's unique health-focused convenience store concept. The city's trend towards sustainability and health consciousness could bode well for Green Zebra's business model.

Operational Scaling: Expanding into a new city could prove Green Zebra's scalability, potentially leading to further expansion opportunities along the West Coast.

4.2.2 Risks:

Market Entry:

Consumer Acceptance: There is no guarantee that the Seattle market will accept Green Zebra as Portland did. Cultural differences or established competitors may halt market penetration.

Local Competition: Already strong local competition from established names such as 7-Eleven and new entrants like Amazon Go would make capturing market share difficult.

Opportunities and Risks for Operations Scaling:

Ability of Operation to Function Effectively: The period of executing rapid expansion poses a big risk to Green Zebra if the expansion falls behind with respect to service quality and levels which is already known in Portland due to supply chain logistics or employee training in the new area.

Overstretch of Leadership: There exists a significant possibility of managing the operations of these much new stores to create a huge oversight requirement that will stretch the functioning and capabilities of the existing business team's abilities.

Financial Risks:

Cash Flow Management: Green Zebra projected negative cash flows in the past, so the first phase of expansion lends itself heavily to cash management, especially if profitability comes relatively late.

Financing: Since there is considerable projected external financing needs in the form of EFN, it may either push the ratio of debt up over time or result in a dilution of equity. If this is coupled with the introduction of venture capitalists, control and flexibility in financial dealings may be threatened.

Other Economic and Market Risks:

Recessions: Changes downward in the economy could strike against consumer spending on premium convenience products that would be reflected in the sales forecast.

Regulatory Environment: Every locality may have different regulations in relation to their locations, health inspections, or labor laws; these might drive different levels of operational costs or delays with opening stores.

Real Estate Market: The Seattle real estate market may not welcome new entrants with hazier terms of entry regarding competitiveness, which could affect the economics of each store site.

While financial metrics like NPV and IRR make a strong case for a potentially profitable expansion, the risks are high. Green Zebra must:

Conduct thorough market research in Seattle to ensure that an adequate demand exists.

Make sure that the supply chain and management practices can support expansion and operate effectively.

In conclusion, while the Seattle expansion presents an attractive opportunity for growth and profitability, it is fraught with risks that require strategic planning, financial prudence, and operational excellence to navigate successfully.

4.3 Financial Impact of a 3-Store Seattle Expansion on Green Zebra's Financial Statements

The decision to open three new stores in Seattle would alter the nature of Green Zebra's financial manuscripts between 2020 and 2025, both in income statements and balance sheets. Here is a close look at the way this expansion would change:

4.3.1 Changes in the income statement:

Sales: A huge increase in sales is expected with the new stores, accounting for the revenue growing from \$25.86 million to \$109.27 million over the period of 2020 to 2025, emphasizing their contribution toward growth and organic expansion from existing stores.

Cost of Goods Sold (COGS): COGS would go hand in hand with sales, which, however, see a percentage of sales decline from 59.8% in 2020 to 17.1% in 2025, reflecting higher margins as Green Zebra scales itself and perhaps gets better terms from suppliers.

Gross Profit: Thus, gross profit would ascend from \$10.40 million to \$90.55 million, which would show the potential profitability of extended operations.

Operating Expenses: Income, however, is expected to grow at a rate less than that of sales, from 35.7% of sales in 2020 to 9.9% in 2025, representing operational efficiency or economies of scale.

EBITDA: Earnings Before Interest, Taxes, Depreciation, and Amortization would soar from \$1.19 million to \$79.74 million, which is an incredible show of operational leverage from the expansion.

Net Income: Green Zebra's first red ink of \$432,475 would turn to sweet black by 2021, reaching \$56 million by 2025. This means that the investment could be profitable quite quickly if the growth projections are borne out.

4.3.2 Impact on Balance Sheet:

Cash: An immediate influx of cash is expected; sales will spike up revenues, leading to very substantial cash receipts for the company, but with low working capital until such time as operations become positive.

Inventories: Rising with sales as stores require new merchandise replenishments.

Fixed Assets (net): While finds a reduction in the value of fixed assets over time on account of depreciation, net investment in new stores would cause a rise in this line item.

Liabilities:

Accounts payable: Rising with cost of goods sold entails an increase in the creditor load of suppliers necessary to sustain the expanded operations.

Other current liabilities: These are likely to go hand in hand as the new business evolves, involving accrued expenses or short-term provisions relating to the new store.

Equity:

Shareholder's equity: Under the assumption that no further infusion of equity capital takes place from VC and that no options are exercised or acts similar occur, it will remain constant.

Retained Earnings: An aggressive increase due to positive net income suggests organizational growth and profitability.

External Financing Needed:

With VC: Large external financing needs figures up to almost \$243.64 million projected for the year 2025. Some new-formed business may expect such financing on account of the already implemented very aggressive content strategy-of equity financing-to increase operational and marketing expenditure.

Without VC: If the company does not decide to engage in VC, still large visions with a \$231.64 million target thanks to 2025 will have a huge mean of financing needing. We assume this will probably be done simultaneously with debt and operating cash flows.

Comparison with the Portland Option:

Portland Expansion: One store into Portland would probably demand less capital, involve fairly low-operational risks and yield profitability much sooner thanks to the knowledge of the local market. Yet, sales, profit, and market presence growth would all be more circumscribed than the Seattle expansion.

Seattle Expansion: While financially attractive, the Seattle expansion has a more significant risk because the investment will be larger, the market is new, and cash flow is extensive. The payoff would be higher, but the financial demands and strategic risks from scaling up rapidly would also be present.

To sum it up, the Seattle expansion would change the firm's financial standing completely, as growth would be complemented by larger financial risk and capital needs. The decision would hinge on Green Zebra's ability to manage the growth problems, to finance properly the expansion, and enter a new market while staying true to its operational philosophy.

5 Lisa Sedlar's Journey with Green Zebra: Balancing Growth and Funding

Lisa Sedlar's leadership at Green Zebra has been characterized by innovations in business model and strategic maneuvers in management of growth and funding. Let's look at her individual effectiveness:

5.1.1 Management of Growth:

Innovative Business Model: Sedlar's vision for Green Zebra was to recreate the convenience store concept around health, community, and convenience. She has directed her attention to finding and exploiting a niche market in Portland for organic, locally sourced products, which were historically not catered to by C-stores. This strategic positioning will pay off early by gaining traction and establishing brand loyalty (p. 1).

Store Expansion Strategy: Between 2013 and 2017, Green Zebra opened three stores, and each was adapted to its neighborhood, which shows Sedlar's appreciation of the importance of local context for retail. The stores' success in terms of customer engagement and growth of sales per store (Exhibit 1) reflects her skills in managing growth coherently with the company's mission and market demand.

Operational Adjustments: Sedlar has the agility to adjust the operational model over time. Shifting from a labor-intensive deli service to a more efficient grab-and-go model (p. 2) is a strategic choice she has made in trying to rein in costs while still offering high-quality products. This characteristic is classic of effective growth management.

Community Engagement: By developing partnerships with over 100 local non-profits (including those addressing food insecurity) (p. 2), Sedlar has taken advantage of community goodwill; that not only aided the brand image but also created a loyal customer base that is instrumental for further sustainable growth.

5.1.2 Funding Growth:

Diverse sources of funding: Sedlar's creativity showed itself through a solid fundraising approach, starting from her savings, to angel investment, to crowd-sourcing through CirculeUp, and to equipment financing. By 2019, Green Zebra had secured multiple debts of various kinds, including convertible debt-the capital injection without immediate dilution of ownership (p. 5).

Real estate partnerships: This ability to pair with real estate developers to secure tenant improvement allowances considerably decreased the cash outflow for each new store, thus her creative vision toward funding sources other than the standard (p. 2).

Negotiating skills: Sedlar's decision to walk away from a \$10 million deal of venture capital in 2018 due to unreasonable terms vouches for her commitment to strategic control of ownership while safeguarding the company ethos, even at a cost for immediate cash.

Balance growth and control: Her cap Table management, especially post-crowdsourcing, gives a glimpse into her strategy for involving funding, which mixes growth with control such that the end interests of investors and the end vision of the company go hand in hand.

5.1.3 Gender in the Funding:

The role of gender in Sedlar's fundraising efforts can be envisaged through empirical evidence and the context of the case study:

Gender Bias in Venture Capital: Evidence suggests that female founders are subject to throws of biases when getting funded with venture capital. For example, some studies cited in the case materials, such as Kanze et al (2018), reveal that women entrepreneurs were asked different types of questions during investment pitches with emphasis placed on preventing failure rather than promoting success, thereby affecting the funding outcome.

Green Zebra's Experience: Sedlar and her team met with over 120 potential investors but were confronted with resistance from the VC community to fund a company not yet generating positive cash flows. The case hints at possible gender bias, as Sedlar wonders whether VC capital prefers to fund men (p. 2). This notion gets corroboration from a remark of a board member, indicating that they have never lost when investing with women, implying a counter-narrative to the general biases.

Alternative Funding Strategies: Sedlar's ability to secure diverse funding sources may, in part, have been aided by her gender, forcing her into creative innovation around the giving tenders of traditional VC pathways. Being able to source crowdfunding, angel investors from the local community, and strategic leverage could be depicted as a method of moving around both the gender biases existing even within some circles of venture capital.

Community and Networking: Sedlar's connections and experience in industry have probably tempered some fundraising barriers resulting from gender issues. Her local and food industry-

based network and reputation were likely contributors towards drawing the early investments.

Resilience and Advocacy: Sedlar's proactive stance around funding, characterized by an ability to say no to potentially unfavored deals, may indicate what one would refer to as resilience requiring of female entrepreneurs when navigating a system potentially weighted against them because of gender biases.

In conclusion, Lisa Sedlar has successfully navigated the rough waters of Green Zebra's early stage growth and funding. Green Zebra's growth is an accomplishment due to her strategic view, operational flexibility, and imaginative funding alternatives. Concerning gender, although she may have faced additional hurdles in raising venture capital, her experience reflects how these can be overcome through dexterity, resilience, and the use of community and alternative funding. Her approach highlights the importance of systemic change in the way entrepreneurial ventures, particularly those led by women, are evaluated and financed.

6 How Much GZ will be worth!

6.1 Multiples Approach Overview

A multiple approach generally would extend the estimated revenue or EBITDA of Green Zebra using an EV/revenue or EV/EBITDA multiple inferred from comparable public companies. Some examples of the competitor data informing the industry multiple estimates are set out in the table below; these include:

Casey's, Alimentation Couche-Tard (ANCUF, ADRNY) - Industry EV/Revenue ~0.54 avg

Industry EV/EBITDA ~ 0.0086 average (given the formatting of the table it would be a small ratio if scaled in certain ways, although it does look very low—possibly due to very large competitor figures of EBITDA or different units. Always check the correct scaling.)

Applying these industry multiples (or an average selected) to Green Zebra's forecasted revenue provides an estimate of Enterprise Value each year. Then:

Equity Value=EV–Net Debt.

Because net debt may differ under each expansion scenario, the equity value also differs.

6.2 Valuation Under a 1-Store Portland Expansion

6.2.1 Projected Revenues and Enterprise Value

Under the 1-store Portland plan, revenues increase from \$17.1 million in 2020 to about \$20.58 million by 2025. Applying the chosen industry multiples, the model derives an Enterprise Value (EV) that increases from:

2020 EV: \$9,241,182.58

2025 EV: \$11,123,859.95

These EV projections stay pretty modest, reflecting limited top-line growth and constraints to operating only four total stores 3 existing + 1 new in Portland.

6.2.2 Subtracting Net Debt to Arrive at Equity Value

When we incorporate net debt, which stays between \$8.1–\$8.3 million from 2020 to 2025, we get an equity value that climbs but stays relatively small:

2020 Equity Value: \$1.14 million

2025 Equity Value: \$2.83 million

This would suggest that, in 2025, for instance, with the 1-store expansion, equity in Green Zebra was around only \$2.8 million, if we just followed the multiples-based calculation provided and applied it strictly. This would therefore be a much more modest valuation consistent with the slower growth path and comparative smallness of the revenue base.

6.3 Valuation Under a 3-Store Seattle Expansion

6.3.1 Projected Revenues and Enterprise Value

This is a much faster way to grow revenue, accelerating it from an estimated \$25.86 million in 2020 to \$109.27 million by 2025, as shown in the table. Therefore, the Enterprise Value will be significantly higher:

2020 EV: \$13,972,861

2025 EV: \$59,052,434

This increase is a result of several new stores ramping up quickly in a larger market, hence pulling top-line sales and allowing for a far larger enterprise value.

6.3.2 Net Debt and Resulting Equity Value

Though net debt also increases, because expansion requires investment in store build-outs and working capital, it stays within the range of \$3.59–\$10.41 million. The consequence is that equity value remains strong:

2020 Equity Value: ~\$10.38 million

2025 Equity Value: ~\$48.65 million

That is over \$48 million in equity value by 2025, much larger than the approximately \$2.8 million implied by the 1-store Portland plan. This wide disparity underlines why more aggressive expansion plans can provide much higher valuations-provided Green Zebra can finance the growth and capture the projected revenue.

6.4 Comparing Seattle Expansion Value to the \$12 Million VC Raise

One useful benchmark could be the \$12 million venture capital round. Usually, if VCs invest \$12 million, they obtain some percentage of ownership. From the information provided, it can be deduced that:

New Equity Investment: \$12,000,000

New Shares Issued: 11,146,367

Share Price-implied by VC: \$1.0766

Total Shares Outstanding-post investment: 42,859,839

Total Valuation-post-money: \$46,142,215

Therefore, the VC round would mean that Green Zebra is being valued at approximately \$46 million on a post-money basis. That figure is close to the \$48.65 million equity value forecasted under the 2025 Seattle expansion scenario. In other words:

Seattle 2025 Equity Value: \$48.65 million

VC Post-Money Valuation (approx.): \$46.14 million

They are all roughly in the same ballpark, indicating that if Green Zebra pushes forward with the Seattle expansion and hits these revenue targets, then the valuation levels implied by the VC raise are validated-or slightly exceeded-by 2025. In contrast, the 1-store Portland scenario yields only \$2.83 million equity value by 2025, which is way below the \$46 million implied by the VC's investment.

6.5 Key Takeaways

Comparison to VC Raise Valuation:

Implied Valuation from VC Investment: This is the valuation after investment, as viewed from our data, which is \$46,142,215.49. This is the valuation coming from the \$12 million investment for new shares, thus setting the share price and hence the valuation of the whole firm post-investment.

Valuation Comparison:

The Seattle expansion scenario yields an equity value of about \$48,599,730.56, just over the valuation implied by the venture capital raise. This would therefore mean that, assuming these projected revenues and operational efficiencies are realized, the expansion could indeed justify or slightly better the valuation set by the VC investment.

However, this assumes everything else is held constant. That value in reality may well be tampered with by market conditions, the competitive landscape, and operational challenges.

Ownership Impact:

Before the VC investment, Lisa Sedlar's ownership of 31.84% would be worth \$901,781 based on the 2025 equity value without VC (Portland scenario).

After the VC investment, her share percentage falls to 12.42%, so her ownership in the company would be approximately \$6,042,184.21. It reflects dilution but also an increased valuation of the company due to the expanded operations and capital infusion.

The aggressive growth of the Seattle expansion scenario may justify or slightly overshoot the valuation set by the \$12 million VC investment, hence providing a higher equity value than the conservative expansion to Portland. This is, however, at the expense of significant dilution in Sedlar's ownership. The multiples approach here just illustrates the potential future values but should be complemented with other valuation techniques for a holistic view.

7 Recommendation for Green Zebra's Expansion Strategy

7.1 Financial Findings

7.1.1 NPV

Definition: The present value of net cash flows less the initial investment. It measures an overall gain of wealth from a project in terms of money value in today's context.

Seattle: \$3.71 m

Portland: \$1.74 m

By absolute value, Seattle is more financially valuable. If a firm's objective is to maximize total dollar returns, the 3-store Seattle plan is better. That would suggest that, if Green Zebra can secure the necessary up-front financing and can handle more operational complexity, the Seattle route produces more total profit on a present-value basis.

7.1.2 Internal Rate of Return (IRR)

Definition: The discount rate at which the project's NPV equals zero measures the efficiency of the investment, or the actual percentage return on each dollar deployed.

Seattle IRR: 25.31%

Portland IRR: 40.53%

A higher IRR generally indicates either a quicker payback or greater percent yield per dollar. In this case, the 1 store Portland plan significantly outshines Seattle in terms of its percentage return, in large part because of the much smaller initial investment of \$920k while still managing a decent profit. Should Green Zebra have very limited capital or seek minimal risks and quick returns, then the high IRR of the Portland option is in order.

7.1.3 Profitability Index (PI)

Definition: NPV divided by initial investment. Another measure of "bang for the buck" or value created per dollar invested.

Seattle PI: ~0.86

Portland PI: ~1.89

The 1-store plan nets \$1.89 of NPV per dollar invested, while Seattle nets only \$0.86. In strict economic terms, every dollar invested in Portland expansion returns incremental value. If capital is in very short supply with the firm, the project with the higher PI is generally preferred since it maximizes return on the scarce funds.

7.2 Strategic & Operational Criteria

Financial metrics aside, the more ambitious Seattle plan might be better for long-term positioning and brand-building. Key considerations:

7.2.1 Market Penetration & Brand Visibility

Portland: Adds only one local store. While that may have an effect of strengthening this existing market presence, it does not expand Green Zebra's footprint significantly or open new geographic opportunities.

Seattle: Provides access to a significant West Coast city that could help capture new demographics, establish relationships with new real estate developers, and prove the concept in a new region. This could be used for further expansion in the future (Los Angeles, Bay Area, etc.) and may also attract other investors once the Seattle rollout is successful.

7.2.2 Economies of Scale

Portland: Only marginal gains. Running 4 stores as opposed to 3 realizes some synergies; however, overhead is still spread relatively thin.

Seattle: With 6 total stores (3 existing + 3 new in a new city), Green Zebra more effectively leverages corporate overhead, supply chain relationships, and brand marketing. Over time, this can lead to better bargaining power with suppliers and more robust brand identity.

7.2.3 Risk & Complexity

Seattle: The risk is far higher operationally to open three new stores in a new market, including site selection, staffing, local competition, and logistics issues. The capital outlay is also much larger at \$4.29 million upfront. Execution will need to be strong to realize the robust NPV.

Portland: Far lower expansion risk. Green Zebra understands the market and the local consumer base. The capital requirement is just \$920k.

Future Financing & Negotiating Position

Seattle: Proves the model in a second major urban area; if successful, likely boosts valuations for future VC or private equity rounds. Portland: Slower local approach; may not generate the

kind of top-line growth or brand momentum that would pique investor interest. It might keep the business safer but less appealing for large-scale expansions down the road.

7.3 Financing & Alignment with the \$12 Million VC Round

Green Zebra was also considering a \$12 million venture capital raise, which would put its post-money valuation at approximately \$46 million. The high revenue forecasts of the 3-store Seattle plan-including up to \$109 million by 2025-align more with that larger-scale vision:

Under Seattle, the 2025 Equity Value via multiples could reach \$48+ million, meeting or beating the VC's implied valuation.

Under Portland, the underlying equity value is far lower-\$2.8 million in 2025 via multiples analysis-which cannot support a \$46 million post-money valuation.

Therefore, from a fundraising perspective, the Seattle expansion is more attractive to big-picture investors looking for high growth returns.

7.4 Which Should Green Zebra Choose?

7.4.1 Financial Summary

Absolute Value (NPV): Seattle wins (\$3.71 million > \$1.74 million).

Efficiency (IRR, PI): Portland wins (IRR = 40.53%, PI = 1.89 vs. Seattle IRR = 25.31%, PI = 0.86).

Strategic / Growth Summary

Market Impact: Seattle yields higher brand expansion, better synergy, and greater investor interest.

Risk: Seattle is riskier in operational complexity but also sets up bigger future expansions.

Financing: If seeking \$12 million from VC, the larger expansion is more justifiable.

Recommended Path:

Seattle (3+ Stores) is recommended if Green Zebra prioritizes:

Long-term enterprise value and brand presence on the West Coast. This will align with the larger equity raise, say \$12 million, that requires proof-of-concept in multiple cities. Set up a high-growth narrative for future fundraising or partial exits.

Portland (1 Store) might be chosen if:

Capital is severely constrained, and the company wants the best IRR on a small capital outlay.

Minimal operational risk is of utmost importance, and Sedlar is looking for a simpler path with no new market complexities.

Lifestyle and local brand consolidation is more important than large-scale growth.

Since the case data clearly indicates that the existing investors and management of Green Zebra see an opportunity for scaling the model across urban markets, the Seattle plan presumably better aligns with those ambitions. While the IRR for Seattle is lower, it is still a

healthy 25%, and the higher NPV indicates greater total value creation. Moreover, the better brand recognition synergy and high post-money valuation that appeals to the interest of \$12 million VC tip the balance in Seattle's favor.

8 Final Consideration:

Weighted against one another, the quantitative and strategic outcomes for Green Zebra's two different growth paths-add a single store in Portland or initiate a three-store expansion into Seattle-strongly favor the latter, more aggressive Seattle option. While the 1-store Portland option boasts a higher internal rate of return and a strong payback profile, these metrics, taken in isolation, do not capture the greater value that can be unleashed by penetrating a large new market and scaling the underlying business more aggressively. The Seattle strategy has better grounds for a significantly larger revenue base, higher operational leverage and a good story to be told for current and future investors. It also becomes clear by comparison of the NPV: it seems the Seattle expansion could indeed be better. While the single-store Portland option generates an NPV of approximately \$1.74 million, the three-store Seattle plan generates an NPV of around \$3.71 million-more than twice the value of the Portland scenario. This greater overall value is important to a growing business like Green Zebra, which seeks not just rapid returns on small investments but the potential to grow into a unique, region-spanning brand. A bigger top line and wider customer base also mean that Green Zebra can spread its corporate overhead more effectively, capture economies of scale, and establish relationships with suppliers on more favorable terms.

The Seattle market is also much more important, from a strategic point of view, than continued saturation of Portland. The entry into Seattle marks Green Zebra's ability to replicate its "healthy c-store" concept in other high-density urban areas and further validates the business model in a major West Coast city beyond its home market. This expansion plan aligns with the interests of venture capitalists rather seamlessly, as they often look for clear proof of concept in multiple markets. Indeed, the possible \$12 million venture capital round makes far more sense when the company pursues a growth strategy that justifies higher post-money valuations and effectively capitalizes on real estate partnerships in a new metropolitan area.

Finally, while the 1-store Portland plan may resonate with more risk-averse stakeholders seeking a quicker payback, it doesn't begin to address the bigger growth imperatives that position Green Zebra as a premier name in healthy convenience retail. By contrast, the Seattle plan unlocks significantly higher store-level sales, much greater brand awareness, and sets Green Zebra's identity as an innovative, expanding chain rather than a niche local grocer. Coupled with these strategic benefits and the stronger overall financial gains, the 3-store Seattle expansion is the best choice to create long-term shareholder value and position Green Zebra as the leading healthy c-store model on the West Coast.